



2026 South Dakota Legislature

Senate Bill 228

SENATE TAXATION ENGROSSED

Introduced by: **Senator Karr**

1 **An Act to modify provisions for a tax increment financing district.**

2 BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF SOUTH DAKOTA:

3 **Section 1. That § 10-6-137 be AMENDED:**

4 **10-6-137.** ~~Any~~ Following the construction of any structure classified pursuant to
 5 this section, ~~must, following construction, be valued~~ the valuation of the structure for
 6 taxation purposes must occur in the usual manner. The board of county commissioners of
 7 the county in which the structure is located, may adopt a discretionary formula for
 8 assessed value to be used for tax purposes. Except as otherwise provided in § 10-6-137.1,
 9 the formula may include, for any or all of the five tax years following construction, all, any
 10 portion, or none of the assessed value for tax purposes. Any formula adopted ~~must be~~
 11 equally applied to specifically classified properties pursuant to this section may not be
 12 used for any property within a tax increment finance district.

13 ~~The board of county commissioners of the county in which the structure is located~~
 14 may, if requested by the owner of the structure, fully assess the structure without
 15 application of the formula. In waiving the formula for the structure of one owner, the
 16 ~~board of county commissioners~~ is not prohibited from applying the formula for subsequent
 17 new structures. The assessed value during any of the five years may not be less than the
 18 assessed value of the property in the year preceding the first year of the tax years
 19 following construction.

20 Any structure that is partially constructed on the assessment date may be valued
 21 for tax purposes, pursuant to this section, and the value may not be less than the assessed
 22 value of the property in the year preceding the beginning of construction. The period that
 23 the property is valued for tax purposes under this section may include the years when the
 24 property is partially constructed.

Following the five-year period under this section, the property must be assessed at the same percentage as all other property for tax purposes, except as otherwise provided in § 10-6-137.1.

Any of the following types of real property may be specifically classified for the purpose of taxation pursuant to this section:

- (1) Any new industrial ~~or commercial~~ structure, or any addition, renovation, or reconstruction to an existing structure,~~located within a designated urban renewal area as defined in § 11-8-4,~~ if the new structure, addition, renovation, or reconstruction has a full and true value of thirty thousand dollars or more;
- (2) Any new industrial structure, including a power generation facility, or an addition to an existing ~~structure~~ facility, if the new ~~structure~~ facility or addition has a full and true value of thirty thousand dollars or more;
- (3) Any new nonresidential agricultural structure, or any addition to an existing structure, if the new structure or addition has a full and true value of ten thousand dollars or more;
- (4) Any new commercial structure, or any addition, renovation, or reconstruction to an existing structure, except a commercial residential structure as described in subdivision (5), if the new structure or addition, renovation, or reconstruction has a full and true value of thirty thousand dollars or more;
- (5) Any new commercial residential structure, or addition to an existing structure, containing four or more units, if the new structure or addition has a full and true value of thirty thousand dollars or more;
- (6) Any new affordable housing structure containing four or more units, with a monthly rental rate of the units at or below the annually calculated rent for the state's sixty percent area median income being used by the South Dakota Housing Development Authority for a minimum of ten years following the date of first occupancy, if the structure has a full and true value of thirty thousand dollars or more;
- (7) Any new residential structure, or addition to or renovation of an existing structure, located within a redevelopment neighborhood established pursuant to § 10-6-141, if the new structure, addition, or renovation has a full and true value of five thousand dollars or more. ~~The structure must be,~~ provided the structure is located in an area defined and designated as a redevelopment neighborhood based on conditions ~~provided~~ set forth in § 11-7-2 or 11-7-3; or

- 1 (8) Any commercial, industrial, or nonresidential agricultural property that increases
2 more than ten thousand dollars in full and true value, as a result of reconstruction
3 or renovation of the structure.

4 **Section 2. That § 10-12-44 be AMENDED:**

5 **10-12-44.** The county auditor having jurisdiction over a school district shall raise
6 additional revenue, for the general fund and special education fund, from real property
7 taxes, to compensate for a tax abatement, a tax increment financing district, or a
8 discretionary formula in accordance with the following:

- 9 (1) For tax increment financing districts created pursuant to chapter 11-9, the county
10 auditor shall impose an additional tax levy, for an amount not to exceed an amount
11 equal to the sum of the levies in §§ 10-12-42 and 13-37-16 multiplied by the ~~tax~~
12 ~~increment value, as defined in § 11-9-1~~ total value of the tax increment financing
13 district less the tax increment base as determined pursuant to § 11-9-19;
14 (2) For property subject to § 10-6-137, 10-6-137.1, or 10-6-144, the county auditor
15 shall impose an additional tax levy, for an amount not to exceed the amount of
16 taxes that were not collected, due to the reduction in value based on the maximum
17 levies, pursuant to §§ 10-12-42 and 13-37-16; and
18 (3) For abated taxes, the county auditor shall impose an additional tax levy, for an
19 amount not to exceed the amount of the school district's portion of the taxes that
20 were abated, pursuant to chapter 10-18, during the previous tax year.

21 The levies in this section are not subject to the referendum provision of § 10-12-
22 43 and these levies must maintain the same proportion to each other, as represented in
23 the mathematical relationship at the maximum levies pursuant to § 10-12-42.

24 **Section 3. That § 11-9-1 be AMENDED:**

25 **11-9-1.** Terms used in this chapter mean:

- 26 (1) "Department," the Department of Revenue;
27 (2) "District," a tax increment financing district in a contiguous geographic area within
28 a political subdivision, which is defined and created by resolution of the governing
29 body, provided that parcels that are not otherwise adjacent are not contiguous
30 based solely on the existence of an easement, right-of-way, transportation
31 corridor, or waterway connecting the parcels, unless the parcels are:
32 (a) Separated only by the easement, right-of-way, transportation corridor, or
33 waterway; and

- 1 (b) Located directly opposite one another;
- 2 (3) ~~"Governing body," the board of trustees, the board of commissioners, the board of~~
3 ~~county commissioners, or the common council of a municipality~~ a board of
4 ~~commissioners, board of trustees, common council, or other authoritative body by~~
5 ~~which a political subdivision is controlled;~~
- 6 (4) "Grant," the transfer of money or property to a transferee for a governmental
7 purpose that is not a related party to or an agent of the political subdivision;
- 8 (5) "Planning commission," a planning commission created under ~~chapters~~ chapter 11-
9 2 or 11-6, a planning committee ~~of a governing body~~ of a political subdivision that
10 does not have a planning commission, or the governing body of a political
11 subdivision that does not have a planning commission or planning committee;
- 12 (6) "Political subdivision," a municipality, as defined in § 11-6-1, or county of this
13 state;
- 14 (7) "Project plan," ~~the property~~ an approved plan for the development or
15 redevelopment of a ~~tax increment financing~~ district including and all properly
16 approved amendments to the plan;
- 17 (8) ~~"Tax increment financing district," a contiguous geographic area within a political~~
18 ~~subdivision defined and created by resolution of the governing body;~~
- 19 (9) ~~—"Taxable property," all real and personal taxable property located in a tax~~
20 ~~increment financing district; and~~
- 21 (9) "Tax increment valuation," the total value of the ~~tax increment financing~~ district
22 minus the tax increment base as determined pursuant to § 11-9-19.

23 **Section 4. That § 11-9-4 be AMENDED:**

24 **11-9-4.** The planning commission shall designate the boundaries of a district that
25 the planning commission recommends be created. The planning commission shall submit
26 the recommendation to the governing body. The boundaries of a district may not split a
27 whole unit of property that is being used for a single purpose.

28 **Section 5. That § 11-9-5 be AMENDED:**

29 **11-9-5.** ~~To establish~~ create a district, the governing body must adopt a resolution
30 that:
31 (1) Describes the boundaries of ~~a~~ the district with sufficient definiteness to identify
32 with ordinary and reasonable certainty the territory included. ~~The boundaries may~~
33 ~~not split a whole unit of property that is being used for a single purpose;~~

- (2) Creates the district on a given date;
- (3) Includes a finding that the assessed value of the taxable property in the district plus the tax increment base of all other existing districts does not exceed ~~ten~~;
- (a) For a district created by a first class municipality, seven and one-half percent of the total assessed value of all taxable property in the political subdivision; and
- (b) For all other classes, ten percent of the total assessed value of all taxable property in the political subdivision;
- (4) Assigns a name to the district for identification purposes. The first district created in each political subdivision must be known as "Tax Increment Financing District Number One, City (or Town, or County) of _____." Each subsequently created district must be assigned the next consecutive number; and
- (5) Demonstrates that the district has been reviewed by all affected taxing districts at a public meeting held pursuant to chapter 1-25, provided that the affected taxing districts may provide input but do not have authority to approve or reject the creation of the district.

Section 6. That § 11-9-6 be AMENDED:

11-9-6. ~~Subject to any agreement with bondholders, a district may overlap with one or more existing districts if the boundaries of the districts are not identical. Unless otherwise authorized by a joint resolution among the affected political subdivisions, a district established after July 1, 2026, may not overlap with any other existing district.~~

Section 7. That § 11-9-8 be AMENDED:

11-9-8. The resolution required by § 11-9-5 ~~shall~~ must contain the following findings:

- (1) Not less than ~~twenty-five~~ fifty percent, by area, of the real property within the district is a blighted area or not less than fifty percent, by area, of the real property within the district will stimulate and develop the general economic welfare and prosperity of the state through the promotion and advancement of industrial, commercial, manufacturing, agricultural, or natural resources development; and
- (2) The improvement of the area is likely to significantly enhance the value of substantially all other real property in the district.

1 It is not necessary to identify the specific parcels meeting the criteria. ~~No county~~
2 ~~may create a district located, in whole or in part, within a municipality, unless the~~
3 ~~governing body of the municipality has consented to creation of a district by resolution.~~

4 **Section 8. That a NEW SECTION be added to chapter 11-9:**

5 No county may create a district located, in whole or in part, within a municipality,
6 unless the governing body of the municipality has consented to the creation of the district
7 by resolution.

8 **Section 9. That § 11-9-10 be AMENDED:**

9 **11-9-10.** For the purposes of this chapter, the term "blighted area" means an area
10 that substantially impairs or arrests the sound growth of the political subdivision, inhibits
11 housing development, constitutes an economic or social liability, or is a danger in its
12 present condition and use to the health, safety, morals, or welfare of the public because
13 of:

- 14 (1) The presence of a substantial number of substandard, slum, deteriorated, or
15 deteriorating structures;
- 16 (2) A predominance of defective or inadequate street layouts;
- 17 (3) Faulty lot layout in relation to size, adequacy, accessibility, or usefulness;
- 18 (4) ~~Insanitary~~ Unsanitary or unsafe conditions;
- 19 (5) The deterioration of ~~site or other improvements~~ land or structures affixed to the
20 land;
- 21 (6) ~~A diversity of ownership, tax, Tax or special assessment delinquency~~ delinquencies
22 exceeding the fair value of the land;
- 23 (7) Defective or unusual conditions of title;
- 24 (8) The existence of conditions ~~which~~ that endanger life or property by fire and other
25 causes; or
- 26 (9) A predominance of open space with obsolete platting, diversity of ownership, or
27 deterioration of structures or site improvements.

28 **Section 10. That § 11-9-14 be AMENDED:**

29 **11-9-14.** For the purposes of this chapter, the term "project costs" are any
30 expenditures made or estimated to be made, or monetary obligations incurred or
31 estimated to be incurred, by a political subdivision ~~that,~~ which are listed in a project plan

as grants or costs of public works or improvements within a district, ~~plus any incidental costs diminished by any income, special assessments, or other revenues, other than tax increments, received, or reasonably expected to be received, by the political subdivision in connection with the implementation of the plan.~~

Section 11. That § 11-9-15 be AMENDED:

11-9-15. For the purposes of this chapter, the term "project costs" means:

- (1) Capital costs, including the actual costs of the construction of public works or improvements, buildings, structures, and permanent fixtures; the demolition, alteration, remodeling, repair, or reconstruction of existing buildings, structures, and permanent fixtures; the acquisition of equipment; the clearing, over-excavation, and grading of land, including use of engineered fill and soil compaction; and the amount of interest payable on tax increment bonds issued pursuant to this chapter until the positive tax increments to be received from the district, as estimated by the project plan, are sufficient to pay the principal of and interest on the tax increment bonds when due;
- (2) Financing costs, including all interest paid to holders of evidences of indebtedness issued to pay for project costs, any premium paid over the principal amount thereof because of the redemption of obligations prior to maturity, and a reserve for the payment of principal and interest on obligations in an amount determined by the governing body to be reasonably required for the marketability of obligations;
- (3) Real property assembly costs, including the actual cost of the acquisition by a political subdivision of real or personal property within a district, less any proceeds to be received by the political subdivision from the sale, lease, or other disposition of property pursuant to a project plan;
- (4) Professional service costs, including those costs incurred for architectural, planning, engineering, and legal ~~advice and~~ services;
- (5) Imputed administrative costs, including reasonable charges for the time spent by a municipal or county employee in connection with the implementation of a project plan;
- (6) Relocation costs;
- (7) Organizational costs, including the costs of conducting environmental impact and other studies and the costs of informing the public of the creation of a district and the implementation of project plans; ~~and~~

(8) Payments and grants made, at the discretion of the governing body, that are found to be necessary or convenient to the creation of a district, the implementation of project plans, or to stimulate and develop the general economic welfare and prosperity of the state. ~~No, except:~~

(a) No payment or grant may be used for any residential structure pursuant to § 11-9-42; and

(b) A recipient for a grant made for a district shall enter into an agreement with the governing body specifying the only purposes for which a grant may be used; and

(9) Incidental costs diminished by any income, special assessments, or other revenues, other than tax increments, received, or reasonably expected to be received, by the political subdivision, in connection with the implementation of the plan.

Section 12. That § 11-9-23 be AMENDED:

11-9-23. ~~If~~ Except as provided in this section, if the municipality adopts an amendment to the original project plan for any district that includes additional project costs for which tax increments may be received by the municipality, the tax increment base for the district ~~shall~~ must be redetermined pursuant to § 11-9-20. The tax increment base as redetermined under this section is effective for the purposes of this chapter only if it exceeds the original tax increment base determined pursuant to § 11-9-20.

The provisions of this section do not apply if the additional project costs are ~~thirty-five~~ twenty-five percent or less than the amount approved in the original project plan and the additional project costs will be incurred before the expiration of the period specified in § 11-9-13.

Section 13. That § 11-9-32 be AMENDED:

11-9-32. Moneys may ~~only~~ be paid out of the special fund for the district created under § 11-9-31 only to pay project costs or grants of the district, to reimburse the political subdivision for the payment of project costs or grants of the district, or to satisfy claims of holders of tax increment bonds issued for the district.

Section 14. That § 11-9-46 be AMENDED:

11-9-46. ~~The existence of a district shall terminate~~ must be terminated when:

(1) Positive tax increments are no longer allocable to ~~a the district under pursuant to~~ § 11-9-25; or

(2) The governing body, by resolution, dissolves the district, after payment or provision for payment of all project costs, grants, and all tax increment bonds of the district.

Within thirty days after the termination of a district, the governing body shall provide to the department a notice, which must include the name of the district and copies of the resolution of dissolution and the district's final financial statement. The final financial statement must account for the distribution of any remaining funds pursuant to § 11-9-45.

Section 15. That a NEW SECTION be added to chapter 11-9:

For any district established after July 1, 2026, a governing body may not approve a project plan unless an independent fiscal feasibility review has been completed and submitted to all political subdivisions.

The review must be conducted by a third-party who is a municipal advisor registered with the Municipal Securities Rulemaking Board and the United States Securities and Exchange Commission pursuant to section 15B of the Securities Exchange Act of 1934, 15 U.S.C. §§ 78a to 78qq, inclusive (January 1, 2026), a licensed certified public accountant, or another independent third-party reviewer, including a nonprofit or research organization, or attorney, with demonstrated experience in municipal finance and tax increment financing, approved by the governing body.

The person conducting the review may be compensated for conducting the review but must be independent of any developer, obligated person, and private entity receiving financial assistance or reimbursement under the project plan. If the review is conducted:

(1) By a municipal advisor, the advisor must:

(a) Act in the capacity of municipal advisor to the governing body and may not act on behalf of any developer, underwriter, or other private party; and

(b) Acknowledge in writing that the advisor owes a fiduciary duty to the governing body with respect to any advice provided in the review;

(2) By a certified public accountant, the accountant:

(a) Must perform the review in accordance with applicable professional standards;

- 1 **(b) May not prepare, or have prepared, any development feasibility analysis,**
2 **financial projection, or valuation study for the developer or any affiliated**
3 **entity relating to the district; and**
4 **(c) Must acknowledge in writing that the review is conducted for the benefit of**
5 **the governing body; or**
6 **(3) By an independent third-party reviewer, including a nonprofit or research**
7 **organization, or attorney, approved by the governing body, the third-party**
8 **reviewer may not receive funding or compensation, other than compensation for**
9 **conducting the review, from the governing body or any developer, underwriter, or**
10 **other private entity involved in the project.**

11 **Section 16. That a NEW SECTION be added to chapter 11-9:**

- 12 A fiscal feasibility review required pursuant to section 15 of this Act:
13 **(1) Must contain:**
14 **(a) A description of the project plan, proposed district boundaries, and**
15 **estimated project costs;**
16 **(b) An analysis of the tax increment base and the projected tax increment**
17 **valuation for the anticipated duration of the district;**
18 **(c) An evaluation of whether the projected tax increment revenue is sufficient**
19 **to pay the project costs and any other obligation proposed to be paid from**
20 **the revenue;**
21 **(d) An analysis of the timing of projected revenue relative to anticipated**
22 **expenditures or debt service requirements;**
23 **(e) A discussion of material financial risks to the feasibility of the project plan;**
24 **(f) A statement identifying material assumptions, limitations, and reliance on**
25 **information from other third persons; and**
26 **(g) A conclusion stating whether, based on the assumptions and analyses**
27 **described in the report, the project plan is reasonably feasible from a**
28 **financing standpoint;**
29 **(2) Is advisory in nature and does not constitute a guarantee of project completion,**
30 **revenue, or valuation;**
31 **(3) Does not relieve the governing body of the responsibility to evaluate the project**
32 **plan; and**

- 1 (4) Must be completed and made available to the governing body and the public at
- 2 least fourteen days prior to the governing body's consideration of the resolution
- 3 establishing the district.